

CENTRAL BOARD OF SECONDARY EDUCATION — PRACTICE EXAMINATION**CLASS IX • SOCIAL SCIENCE (SUBJECT CODE: 087) • ACADEMIC SESSION 2026-27****SET F — RAPID FIRE SPEED TEST (30 MINS)****CHAPTER 08: BUILDING BLOCKS IN ECONOMICS: THE PROBLEM OF CHOICE**

TIME ALLOWED: 30 MINUTES

MAXIMUM MARKS: 25 MARKS

SERIES: CBS-IX-SST-SET-F-08

Student's Name: _____

Roll No.: _____

Class & Section: Class IX - _____

Date of Exam: _____

Invigilator's Sign: _____

General Instructions (SET F - Rapid Fire Speed Test):

1. The question paper comprises **25 Rapid Fire Multiple Choice Questions** of **1 mark each**.
2. Designed for **Rapid Recall & High-Speed Accuracy**: Recommended target time is **30 Minutes**.
3. All questions are compulsory. There is no negative marking.
4. Darken the corresponding bubble on the **OMR Sheet** completely using a blue/black ballpoint pen.

 **SPEED CHALLENGE INSTRUCTIONS:** Answer promptly without looking at notes. Test your instant recall of historical milestones, geographic terms, constitutional provisions, and core economic laws!

Q.1 What is the foundational economic problem facing every human society?

- | | |
|---|---|
| (A) Infinite abundance of all goods with zero demand | (B) Scarcity—unlimited human wants paired with limited productive resources having alternative uses |
| (C) Having too much gold and silver in domestic banks | (D) A complete absence of money |

Q.2 Which of the following is NOT one of the three central economic problems of an economy?

- | | |
|---|---|
| (A) What to produce and in what quantities? | (B) How to produce (choice of technique)? |
| (C) For whom to produce (distribution of output)? | (D) How to establish absolute monarchies? |

Q.3 The value of the next best alternative sacrifice or foregone opportunity when a choice is made is termed:

- | | |
|--------------------------|----------------------|
| (A) Accounting cash cost | (B) Opportunity cost |
| (C) Sunk cost | (D) Marginal revenue |

Q.4 What are the four classical factors of production recognized in economics?

- | | |
|--|--|
| (A) Gold, Silver, Platinum, Diamonds | (B) Land, Labour, Physical Capital, and Enterprise (Human Capital) |
| (C) Tractors, Plows, Fertilizer, Seeds | (D) Banks, Stock markets, Currency notes, Coins |

Q.5 What factor payment (reward) is received by the owners of Land as a factor of production?

- | | |
|--------------|------------|
| (A) Wages | (B) Rent |
| (C) Interest | (D) Profit |

Q.6 What factor reward is earned by the entrepreneur for organizing resources and bearing market risk?

- | | |
|--------------|-------------------------------------|
| (A) Rent | (B) Wages |
| (C) Interest | (D) Profit (residual factor income) |

Q.7 Tools, machinery, power generators, and factory buildings used over multiple production cycles are classified as:

- | | |
|---------------------|-------------------|
| (A) Working capital | (B) Fixed capital |
| (C) Consumer goods | (D) Pure land |

Q.8 Raw materials (like cotton yarn, clay) and liquid operating cash in hand used up within a single production cycle are:

- | | |
|-------------------|---------------------|
| (A) Fixed capital | (B) Working capital |
| (C) Sunk capital | (D) Natural land |

Q.9 The accumulated stock of technical skills, knowledge, enterprise, and health embodied in a workforce is termed:

- | | |
|---------------------|-----------------------|
| (A) Working capital | (B) Fixed capital |
| (C) Human capital | (D) Monetary currency |

Q.10 A graphical curve showing all possible maximum combinations of two goods an economy can produce with given resources is the:

- | | |
|------------------|---|
| (A) Demand curve | (B) Production Possibility Frontier (PPF / PPC) |
| (C) Supply curve | (D) Engel curve |

Q.11 Why does the Production Possibility Frontier (PPF) slope downward from left to right?

- | | |
|--|---|
| (A) Because all resources are infinite | (B) Because resources are scarce; producing more of one good necessitates reducing output of another good (trade-off) |
| (C) Because machines run faster on downhill slopes | (D) Because consumer prices drop to zero |

Q.12 Why is the typical Production Possibility Curve concave to the origin?

- | | |
|---|--|
| (A) Decreasing opportunity cost in all industries | (B) Increasing Marginal Opportunity Cost (resources are not equally adaptable to all industries) |
| (C) Constant opportunity cost across all goods | (D) Zero scarcity of resources |

Q.13 A production point situated INSIDE the Production Possibility Curve signifies:

- | | |
|--------------------------------------|---|
| (A) Unattainable economic production | (B) Underemployment, inefficiency, or idle unutilized resources |
| (C) Maximum possible economic growth | (D) Zero unemployment |

Q.14 A production point situated OUTSIDE the existing Production Possibility Frontier is:

- | | |
|---|---|
| (A) Currently unattainable given existing productive resources and technology | (B) A sign of extreme economic depression |
| (C) Achievable by burning down factories | (D) A point of 100% idle machinery |

Q.15 What macroeconomic event causes the entire Production Possibility Curve to shift outward to the right?

- | | |
|--|--|
| (A) Destruction of capital assets in a war | (B) Economic growth driven by technological innovations, capital accumulation, and human skill development |
| (C) Severe drought killing half the population | (D) Closing down all technical universities |

Q.16 Which economic sector includes activities that directly extract and harvest natural resources (farming, fishing, mining)?

- | | |
|----------------------|-----------------------|
| (A) Tertiary sector | (B) Primary sector |
| (C) Secondary sector | (D) Quaternary sector |

Q.17 Which sector encompasses manufacturing, industrial processing, construction, and power generation?

- | | |
|---------------------|-------------------------|
| (A) Primary sector | (B) Secondary sector |
| (C) Tertiary sector | (D) Agricultural sector |

Q.18 Banking, insurance, transportation, software, telecommunications, and healthcare belong to which sector?

- | | |
|-------------------------------|----------------------|
| (A) Primary sector | (B) Secondary sector |
| (C) Tertiary (Service) sector | (D) Agrarian sector |

Q.19 Historical expenditure that has already been incurred and cannot be recovered by any future decision is called a:

- | | |
|----------------------|-------------------|
| (A) Opportunity cost | (B) Sunk cost |
| (C) Marginal cost | (D) Variable cost |

Q.20 Adam Smith demonstrated that dividing a manufacturing process into specialized, repetitive operations leads to:

- | | |
|---|--|
| (A) Total collapse of factory machinery | (B) Enormous gains in labour productivity and output efficiency (Division of Labour) |
| (C) Workers forgetting how to speak | (D) An immediate rise in production costs to infinity |

Q.21 In economics, does paper currency in your wallet qualify directly as a physical factor of production?

- | | |
|---|---|
| (A) Yes, money is an iron tool | (B) No, money is a financial medium of exchange, whereas real capital consists of physical tools, machines, and factories |
| (C) Yes, paper money can plough a field | (D) Money is classified as pure agricultural land |

Q.22 What is the 'Demographic Dividend' currently available to India?

- | | |
|---|---|
| (A) A large proportion of the national population in the productive working-age bracket (15–64 years) | (B) Having a population made up entirely of retired senior citizens |
| (C) A guarantee of free foreign cash gifts | (D) Having zero children born in the country |

Q.23 When extra workers are employed on a family farm but their removal would cause zero reduction in total crop output, it is:

- | | |
|--------------------------------|---|
| (A) Frictional unemployment | (B) Disguised unemployment (hidden underemployment) |
| (C) Technological unemployment | (D) Cyclical recession |

Q.24 The universal historical shift where an economy's output and workforce move from agriculture to manufacturing and services is:

- | | |
|--------------------------|-------------------------------|
| (A) Economic stagflation | (B) Structural transformation |
| (C) Sunk cost fallacy | (D) Division of capital |

Q.25 Which sector currently generates the largest share (over 54%) of India's Gross Value Added (GVA)?

- | | |
|----------------------------------|---------------------------------|
| (A) Primary sector (Agriculture) | (B) Secondary sector (Industry) |
| (C) Tertiary sector (Services) | (D) Mining sector |

CBSE CANDIDATE OMR ANSWER RESPONSE GRID (SET F)

01 (A) (B) (C) (D)
06 (A) (B) (C) (D)
11 (A) (B) (C) (D)
16 (A) (B) (C) (D)
21 (A) (B) (C) (D)

02 (A) (B) (C) (D)
07 (A) (B) (C) (D)
12 (A) (B) (C) (D)
17 (A) (B) (C) (D)
22 (A) (B) (C) (D)

03 (A) (B) (C) (D)
08 (A) (B) (C) (D)
13 (A) (B) (C) (D)
18 (A) (B) (C) (D)
23 (A) (B) (C) (D)

04 (A) (B) (C) (D)
09 (A) (B) (C) (D)
14 (A) (B) (C) (D)
19 (A) (B) (C) (D)
24 (A) (B) (C) (D)

05 (A) (B) (C) (D)
10 (A) (B) (C) (D)
15 (A) (B) (C) (D)
20 (A) (B) (C) (D)
25 (A) (B) (C) (D)

Total Questions Attempted: ____ / 25

Marks Obtained: ____ / 25

Evaluator's Signature: _____

OFFICIAL ANSWER KEY & RAPID RECALL EXPLANATIONS (SET F)

Q. No.	Correct	Curricular Concept & Rapid Recall Analysis
Q.1	(B)	Scarcity arises because productive resources are finite while human wants are unlimited, necessitating economizing and choice.
Q.2	(D)	The three central problems are What to produce, How to produce, and For whom to produce.
Q.3	(B)	Opportunity cost represents the forfeited benefit of the next best alternative choice foregone.
Q.4	(B)	The four factors of production are Land (natural gifts), Labour, Capital, and Enterprise/Organization.
Q.5	(B)	Land earns rent, labour earns wages, physical capital earns interest, and enterprise earns profit.
Q.6	(D)	Profit is the residual reward earned by an entrepreneur for organizing production and bearing uninsurable commercial risk.
Q.7	(B)	Fixed capital consists of durable physical capital assets that can be utilized repeatedly over many years.
Q.8	(B)	Working capital consists of inputs consumed and operating funds transformed within a single cycle.
Q.9	(C)	Human capital refers to the productive abilities, health, education, and technical expertise embodied in people.
Q.10	(B)	The Production Possibility Frontier (PPF) shows maximum alternative output combinations given technology and resources.
Q.11	(B)	Scarcity dictates trade-offs: increasing output of good X requires diverting resources away from good Y.
Q.12	(B)	Concavity reflects increasing marginal opportunity cost as specialized inputs are shifted into alternative sectors.
Q.13	(B)	Points inside the curve indicate inefficient resource allocation or involuntary underemployment.
Q.14	(A)	Points beyond the frontier exceed current productive capacity and can only be attained through future growth.
Q.15	(B)	Technological improvements, capital investment, and workforce skilling expand capacity, shifting the PPC outward.
Q.16	(B)	The Primary sector involves direct exploitation of natural endowments (agriculture, forestry, fishing, mining).
Q.17	(B)	The Secondary sector transforms raw materials into manufactured finished goods.
Q.18	(C)	The Tertiary sector consists of intangible commercial, social, and personal services.
Q.19	(B)	Sunk costs are unrecoverable historical expenditures that rational decision-makers should ignore when evaluating future choices.
Q.20	(B)	Division of labour enables dexterity, task specialization, time savings, and mechanization, boosting productivity.
Q.21	(B)	Money is financial capital facilitating exchange, not a physical productive input like machines or labour.
Q.22	(A)	A high working-age population relative to dependents creates a demographic dividend if supported by education and jobs.
Q.23	(B)	Disguised unemployment occurs when marginal labour productivity is zero; workers appear employed but add no net output.
Q.24	(B)	Structural transformation describes the reallocation of economic activity across primary, secondary, and tertiary sectors.
Q.25	(C)	The Tertiary (services) sector contributes over 54% of India's GDP/GVA.